

12

Leadership

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LEARNING OBJECTIVES

After studying this chapter, you should be able to:

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| 12-1 Summarize the conclusions of trait theories of leadership. | 12-5 Discuss the roles of leaders in creating ethical organizations. |
| 12-2 Identify the central tenets and main limitations of behavioral theories of leadership. | 12-6 Describe how leaders can have a positive impact on their organizations through building trust. |
| 12-3 Contrast contingency theories of leadership. | 12-7 Identify the challenges and opportunities to our understanding of leadership. |
| 12-4 Describe the positive leadership styles and relationships. | |

Employability Skills Matrix (ESM)

	Myth or Science?	An Ethical Choice	Point/Counterpoint	Toward a Better World	Experiential Exercise	Ethical Dilemma	Case Incident
Critical Thinking & Creativity	✓	✓	✓		✓	✓	✓
Communication		✓		✓	✓		
Collaboration				✓	✓		
Self-Management			✓	✓		✓	✓
Social Responsibility		✓		✓		✓	
Leadership	✓	✓	✓	✓	✓	✓	✓
Career Management	✓		✓	✓		✓	✓

THE TIME IS NOW

As CEO of Walgreens Boots Alliance, Rosalind Brewer is currently the only Black woman leading a Fortune 500 company—and only *the third* in modern history. Brewer has served as a compelling role model for aspiring leaders. She has spent over twenty years rising through the corporate ranks to be in the position she is in today. In fact, Brewer started as a research technician known for her strong analytical, operational, and strategic skills. At the same time, she is also well known for her servant leadership style, empowering teams to make decisions focusing on how to support their needs autonomously.

Throughout her career, Brewer has remained committed to furthering diversity, equity, and inclusion (DEI). She has played a crucial role in company-wide transformations throughout her career. For example, when two Black men were sitting in a Starbucks waiting for their business partner in 2018, a barista called the police on them. A video of their arrest soon spread, leading to public outrage and protests. In response, Brewer (COO of Starbucks at the time) was quick to condemn the event publicly. She spoke about how it

impacted her personally as a Black woman with a son the same age as the arrested men. A month after the incident, Starbucks closed all U.S. stores to conduct racial-bias training for employees. The organization then implemented twelve additional training programs in the months that followed to cover topics such as empathy, inclusion, and team building. Brewer also led changes and refinements to Starbucks's store policies concerning DEI goals.

As an outspoken advocate on racial and gender equity, Brewer's transformations were not entirely smooth; she encountered much criticism and resistance along the way. For example, in a 2015 interview, she described a particularly contentious meeting she took part in as the CEO of Sam's Club. In this meeting with a major supplier of Sam's Club, all the other executives in attendance were White men. Brewer called this meeting to discuss their team's lack of diversity with the supplier. Her recollection of the meeting in the interview was met with considerable public backlash, with some calling for a boycott of Sam's Club stores. Brewer was merely trying to start a much-needed conversation about race. Many other executives, such as the president and CEO of Walmart, jumped to her defense: Brewer "was simply trying to reiterate that we believe diverse and inclusive teams make for a stronger business. That's all there is to it and I support that important ideal."

Despite the occasional criticism, Brewer continues to use her platform to draw attention to injustices or systemic oppressive structures. More specifically, Brewer believes a three-part strategy is needed to make organizations more diverse and inclusive. First, she cautions leaders from getting too caught up in the numbers game. Instead, leaders should spend time creating inclusive environments where people feel safe to be their authentic selves. Second, Brewer also suggests leaders should focus on building relationships, particularly with underrepresented employees and those from marginalized backgrounds. While at Starbucks, she frequently held breakfast sessions with employees, including baristas, to hear their stories and feedback. Lastly, investing in mentorship and sponsorship is critical. Brewer believes executives need to structure mentorship programs to allow all employees, particularly those from underrepresented backgrounds, to access senior leaders who can serve as mentors and sponsors. For Brewer, the time is now for organizations to apply these measures so that DEI can become less of a buzzword and more of a concrete leadership initiative.¹

Leaders possess something that sets them apart from others. For instance, Gloria Boyland (board member of UNFI, Vontier, and Chesapeake Energy) has been referred to as one of the most powerful women in corporate America. Boylan spends much of her time coaching and guiding executive leaders, inspiring them, and reaffirming their vital role to their organizations. As the

former vice president of operations and service support at FedEx, she was well known for giving much autonomy to her followers: One of her guiding principles is, “Step back so others can step up.”² She notes that she has learned a lot from FedEx founder and CEO Fred Smith, who leads by example as a transformational, motivational leader. As a Black woman, the cards have been stacked against her: Corporate leadership is dominated by White men, and women are compelled by leader stereotypes to be both warm and tough at the same time.³ Boyland exhibits many of the characteristics and behaviors of a leader while also highlighting some of the modern challenges facing leadership (e.g., a lack of ethnic and gender diversity).⁴

Surely, you have noticed, though, that not all leaders are managers, nor are all managers leaders. *Nonsanctioned leadership*—the ability to influence that arises outside the formal structure of the organization—is sometimes more important than formal influence. For example, Marcy Shinder (now chief marketing officer [CMO] at Work Market) builds relationships with coworkers at work and has informally emerged as a leader shortly after being hired.⁵ Although it has been defined in several ways and involves traits, behaviors, and other factors,⁶ we define **leadership** as the ability to influence a group toward the achievement of a vision or set of goals.⁷ Organizations need strong leadership *and* strong management for optimal effectiveness. We need leaders to challenge the status quo, create visions of the future, and inspire organizational members to achieve the visions. We need managers to formulate detailed plans, create efficient organizational structures, and oversee day-to-day operations.

leadership The ability to influence a group toward the achievement of a vision or set of goals.

Trait Theories

Strong leaders have been described by their traits throughout history. Therefore, leadership research has sought to identify the personality, social, physical, or intellectual attributes that differentiate leaders from nonleaders. These **trait theories of leadership** focus on personal qualities, including personality traits like those in the Big Five (see the chapter on personality and individual differences) and characteristics that predict two distinct outcomes: leadership emergence and leadership effectiveness.⁸ Keep in mind that just because someone exhibits the right traits and others consider that person a leader does not necessarily mean they will be effective or successful as a leader. Echoing the person-situation approach we discussed in the chapter on personality and individual differences, leader behavior is a function of traits and the situation.⁹ In support, researchers and human resource (HR) practitioners have used machine learning and artificial intelligence (AI) approaches to try to predict leader effectiveness from several leader characteristics and found that both traits and situational features are important predictors of leader effectiveness.¹⁰ One situational characteristic of interest is the power distance within a work group or team (see the chapter on diversity, equity, and inclusion in organizations). Researchers have found that leader extroversion, for instance, is more effective in teams with higher power distance values because leaders can bridge the hierarchy between people and cause team members to coordinate, collaborate, and identify together as a team.¹¹

12-1 Summarize the conclusions of trait theories of leadership.

trait theories of leadership Theories that consider personal qualities and characteristics that differentiate leaders from nonleaders.

Personality Traits and Leadership

What makes a person a leader? In general, individuals who like being around people and who can assert themselves (extroverted), who are disciplined and able to keep commitments they make (conscientious), and who are creative and flexible (open) have an apparent advantage when it comes to leadership.

Big Five Traits In examining the Big Five personality traits, researchers have consistently found extroversion to be important for several leadership outcomes. Despite being the strongest predictor of motivation to lead and leader emergence,¹² extroversion also predicts several leadership behaviors or styles. For example, extroverted leaders are more likely to use transformational leadership styles and consideration behaviors (as described later in this chapter).¹³ As such, they are likely to be considered more effective leaders, although it is the *agentic*, bold, or assertive aspects of extroversion that account for this—not necessarily the warm, sociable, *affiliative* aspects.¹⁴ For example, these agentic aspects are responsible for executive behaviors that can be construed as both “good” and “bad”—such as enacting socially responsible policies or instituting mass layoffs to conserve capital.¹⁵ They are also perhaps responsible for explaining why women often under-emerge as leaders: Women are stereotypically associated with the affiliative aspects of extroversion, which affects the extent to which they are perceived as participating in leadership processes.¹⁶ So although extroversion can predict effective leadership, the relationship may be due to unique facets of the trait. As a caveat, however, being “too bold” or “too warm” can also hurt your chances of emerging as a leader.¹⁷

Although agreeableness and emotional stability are important to some aspects of leadership (e.g., they predict follower satisfaction with the leader), openness to experience appears to be less important as a trait despite being a modest predictor of leader effectiveness and follower voice behavior (see the following chapter on power and politics).¹⁸ Conscientiousness, on the other hand, appears to be important for several leadership behaviors and outcomes. For example, conscientiousness predicts initiating structure behaviors *as well as* consideration behaviors (as described later in this chapter).¹⁹ Conscientiousness is also a moderate predictor of leader effectiveness and follower satisfaction²⁰ as well as the strongest leader trait predictor of group performance.²¹

Proactive Personality Traits Leaders’ proactive personality also has an important influence on leadership outcomes. In particular, it appears to matter during specific times during a team, department, or organization’s life cycle.²² For instance, leader proactivity makes all the difference in leadership transitions, as leaders are more likely to foster followers’ identification with their new agenda, become more behaviorally engaged in their work, and engage in voice behavior. This is especially the case when the incoming leader was much more proactive than the previous leader (making the new leader appear better by comparison!).²³ Proactive leaders also appear to be more effective in groups and teams in which the members have a high need for relational approval because they are able to craft supportive environments that fulfill this need. These team members perform better and become more committed to their teams when they are led by proactive leaders.²⁴

Dark Triad Traits What about the Dark Triad personality traits (see the chapter on personality and individual differences)? Research indicates they are not all bad for leadership: Normative (midrange) scores on the Dark Triad personality traits (even psychopathy) were optimal, suggesting that having too much (or too little) of the Dark Triad traits can result in ineffective leadership. However, this may be attributable to whether followers spend a lot of time with their leaders. When followers work closely with their leaders, they have more opportunity to observe exploitative or toxic behavior, which can diminish their trust in the leader and undermine their perceptions of leadership effectiveness.²⁵ Furthermore, regardless of these traits’ impact on performance, the trait activation perspective (see the chapter on personality and individual differences)

suggests that when these leaders feel that they are treated unfairly or are entitled to better treatment, they will be more likely to act in self-interested, destructive ways that can be harmful to the organization.²⁶

Thankfully, research indicates that building self-awareness and self-regulation skills may be helpful for leaders to control the effects of their Dark Triad traits.²⁷ This self-awareness may be difficult for leaders to achieve, especially since narcissists tend to engage in self-enhancement (e.g., perceive themselves more positively than others see them) and be selective in the feedback they elicit and listen to when it comes to leadership.²⁸ Another way in which the toxic effects of dark traits can be mitigated is through consultation with followers. For instance, employees at a large Chinese IT company were not as fazed by their leaders' narcissistic traits when those leaders sought out their feedback and considered it.²⁹

Emotional Intelligence and Leadership

Another trait that may indicate effective leadership is emotional intelligence (EI). As discussed in the chapter on emotions and mood, a core component of EI is empathy. Empathetic leaders can sense others' needs, listen to what followers say (and do not say), and read the reactions of others. A leader who effectively displays and manages emotions will find it easier to influence the feelings of followers by expressing emotions appropriate for the context, such as genuine sympathy and enthusiasm for good performance.³⁰ Although the association between leaders' self-reported EI and transformational leadership (to be discussed later in this chapter) is moderate, it is much weaker when followers rate their leaders' leadership behaviors.³¹ However, people high in EI are more likely to emerge as leaders, even after taking cognitive ability and personality into account.³²

Based on the latest findings, we offer two conclusions. First, traits can predict leadership. Second, traits do a better job predicting the emergence of leaders than distinguishing between effective and ineffective leaders.³³ As a final note regarding the future of personality and leadership, recent research and theory have “flipped” the relationship between the two. Just as it is possible for personality to predict leadership, some suggest that engaging in leadership



As the CEO of Women's Bean Project, Tamra Ryan leads a team of professionals in managing the social enterprise that helps women earn a living while teaching them work and life skills. Her traits of extroversion and conscientiousness contribute to her success.

Source: David Zalubowski/AP Images

behaviors and taking on leadership roles can even *change your personality*, with leaders becoming more conscientious over time as they engage in leadership activities.³⁴

Trait theories help us *predict* who emerges as leaders (and perhaps who will be effective leaders), but they do not fully *explain* leadership actions. What do successful leaders do that makes them effective? Are different types of leader behaviors equally effective? Behavioral theories, discussed next, help us define the parameters of leadership.

Behavioral Theories

12-2 Identify the central tenets and main limitations of behavioral theories of leadership.

behavioral theories of leadership Theories proposing that specific behaviors differentiate leaders from nonleaders.

initiating structure The extent to which a leader defines and structures their role and those of their followers to facilitate goal attainment.

consideration The extent to which a leader has job relationships that are characterized by mutual trust, respect for subordinates' ideas, and regard for their feelings.

Trait theories provide a basis for *selecting* the right people for leadership. **Behavioral theories of leadership**, in contrast, imply we can *train* people to be leaders.³⁵

The most comprehensive behavioral theories of leadership resulted from the Ohio State Studies,³⁶ which sought to identify independent dimensions of leader behavior. Beginning with more than a thousand dimensions, the studies narrowed the list to two that substantially accounted for most of the leadership behavior described by employees: *initiating structure* and *consideration*.

Initiating Structure

Initiating structure is the extent to which a leader defines and structures their role and those of their followers to facilitate goal attainment. It includes behavior that attempts to organize work, work relationships, and goals. A leader who engages in initiating structure behaviors is someone who assigns followers tasks, sets definite standards of performance, and emphasizes deadlines. (You may now see why, as we mentioned earlier, conscientiousness would be an important personality trait to have here!) According to a review of hundreds of leadership studies, initiating structure is more strongly related to higher levels of group and organization productivity and to more positive performance evaluations.³⁷

Consideration

Consideration is the extent to which a leader works to establish relationships characterized by mutual trust, respect for employees' ideas, and regard for their feelings. A leader who engages in consideration helps employees with personal problems, behaves in a friendly and approachable manner, treats all employees as equals, and expresses appreciation and support (people-oriented). Most of us want to work for considerate leaders—according to one study by the National Bureau of Economic Research consisting of millions of responses over several years, working with a boss like this was “equivalent to the increased satisfaction that comes from more than doubling your household income”!³⁸ Indeed, research suggests that the followers of leaders high in consideration were more satisfied with their jobs, were more motivated and less stressed, and had more respect for their leaders.³⁹

Initiating structure and consideration have several important practical implications for organizations. For instance, initiating structure and consideration behaviors have both been linked to whether employees who engage in those behaviors are selected into leadership succession planning programs and pipelines.⁴⁰ In other words, people who act like leaders have a higher likelihood of being considered for selection or succession into leadership positions.

Emotions and other factors also play roles in whether leaders engage in these behaviors. For example, leaders who are proud and self-confident

(but not excessively or hubristically so) tend to engage in these leadership behaviors to a great extent.⁴¹ The situation also plays a role. For instance, when faced with understaffing, leaders engage in initiating structure and consideration to different degrees depending on the *type* of understaffing.⁴² When understaffing is widespread, leaders will engage in initiating structure to ensure work processes and procedures are effective and efficient. When there is expertise understaffing (e.g., limited talent in key roles in which turnover would be devastating), leaders engage in more consideration behaviors—showing their appreciation for key talent. Finally, with regard to cultural differences, research on thousands of managers in dozens of countries suggests that culture is much less important than the organization or managers themselves in determining whether they practice consideration or initiating structure behaviors.⁴³

An Ethical Choice

The Ethics of Nudging

Although management and leadership often involve making direct requests or even commands of others, they can also rely on subtler, more indirect means. For instance, effective leadership can involve creating an environment in which others can make better decisions. One promising technique that can allow leaders to foster this type of environment is nudging. The crux of the nudging technique is to alter how decisions are made to divert (or nudge) them so that they lead to desirable outcomes. The most common type of nudge requires changing the default choice decision makers confront.

For example, a well-known nudge encourages organ donation in European countries by automatically enrolling citizens in the system. They can opt out if they prefer. By automatically enrolling people in the program, citizens are “nudged” toward donating their organs upon passing. However, citizens are still given a choice and allowed to opt out if they do not want to donate their organs. The results demonstrate the effectiveness of nudging—the program increased the number of people agreeing to be donors from fewer than 30 percent to 80 percent.

Leaders can use nudging to influence people to make more ethical decisions. Take the case of the company Slice, which sells short-term insurance to individuals running home-based businesses. The company’s goal was to encourage people to be more honest when submitting insurance claims. The company accomplished its goal with the help of nudging. For instance, requiring claimants to film a short video to describe the claim was particularly useful, likely because people are less likely to lie in a video than in writing.

Finally, many companies experience difficulty identifying abusive leaders before significant damage is done. Why? Leaders’ performance is commonly based on financial measures but not on the processes through which leaders achieved those numbers. Executives can also use nudging to reduce abusive supervision in middle managers, team leaders, and front-line supervisors. Executives can employ a process-oriented performance management program for leaders, which bases employment decisions on specific actions leaders must take (rather than an exclusive focus on financial performance) and provides continuous feedback to leaders. This form of nudging alters the decision-making architecture for both executives

and leaders to prevent the escalation of undesirable behaviors.

Nonetheless, nudging is not without its challenges. Nudges are not always perceived as helpful and may even be viewed as manipulative or patronizing. However, there are steps that managers can take to overcome negative perceptions of nudging:

- 1. Be transparent about the purpose of nudges.** One misconception is that nudges must be hidden to be effective, but to the contrary, disclosing a nudge has not been found to affect its impact. Transparency can help to resolve suspicion that individuals may have about a nudge.
- 2. Co-creating nudges helps to respect employee autonomy, prioritize solutions, and avoid potential roadblocks.** When employees are involved in the process, nudges are likely to be more effective, as they consider their needs and the specific decisions they frequently face.
- 3. Constructive framing is vital.** For example, framing nudges in a health care system as helping physicians avoid mistakes may be viewed negatively. In contrast, framing nudges as a way to provide physicians with performance feedback can be more constructive and motivating.⁴⁴

Summary of Trait Theories and Behavioral Theories

In general, research indicates there is validity for both the trait and behavioral theories. Parts of each theory can help explain facets of leadership emergence and effectiveness. However, identifying the exact relationships is not a simple task. The first difficulty is in correctly identifying whether a trait or a behavior predicts a certain outcome. The second is in exploring which combinations of traits and behaviors yield certain outcomes. The third challenge is to determine the causality of traits to behaviors so that predictions toward desirable leadership outcomes can be made.

This final challenge is complicated by the varieties of contexts and situations leaders may find themselves in. Some leaders may have the right traits or display the right behaviors—but still fail. Context matters, too, which has given rise to the contingency theories we discuss next.

Contingency Theories

12-3 Contrast contingency theories of leadership.

Some leaders seem to gain a lot of admirers when they take over struggling companies and lead them out of crises. For example, Alfred Glancy III saved the Detroit Symphony Orchestra (DSO) as it teetered on the edge of failing. However, predicting leadership success is more complex than merely leading a group out of crisis. Glancy dealt with a lot of this complexity: refusing to spend beyond the DSO's means, negotiating labor agreements, resolving the debt burden, and amplifying fundraising efforts—all while staying true to the art. Importantly, the leadership style that works in tough times does not necessarily translate to long-term success. For example, after times got better, Glancy turned to more innovative approaches to developing the DSO: upgrading the technology of its global webcast series and improving lighting and electronics in the Orchestra Hall, among other innovative approaches. As you can see, being an effective leader can be highly contingent upon situational demands.⁴⁵

The Fiedler Model

Fred Fiedler developed the first comprehensive contingency model for leadership.⁴⁶ The **Fiedler contingency model** proposes that group performance depends on the proper match between a leader's style and the degree to which the situation gives a leader control. According to this model, leadership styles reflect the degree to which leaders approach situations from either a *task-oriented* or *relationship-oriented* perspective. These leadership styles align with the degree to which they use the initiating structure or consideration behaviors discussed earlier. Moreover, these leadership styles are generally assumed to be stable or permanent.

With regard to the situation, we can assess it in terms of three contingency or situational dimensions:

1. **Leader-member relations** is the degree of confidence, trust, and respect that members have in their leader.
2. **Task structure** is the degree to which the job assignments are regimented (that is, structured or unstructured).
3. **Position power** is the degree of influence a leader has over power variables such as hiring, firing, discipline, promotions, and salary increases.

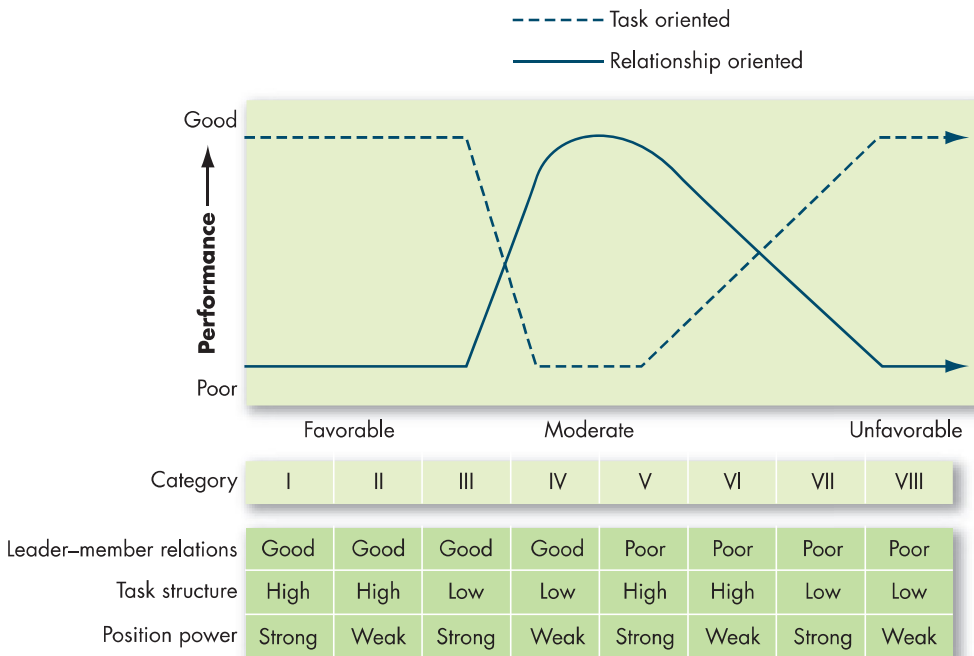
According to the model, the more structured the leader's job assignment becomes and the stronger the position power given to the leader, the more

Fiedler contingency model The theory that effective groups depend on a proper match between a leader's style of interacting with subordinates and the degree to which the situation gives control and influence to the leader.

leader-member relations The degree of confidence, trust, and respect that subordinates have in their leader.

task structure The degree to which job assignments are regimented or structured.

position power The degree of influence derived from one's formal structural position in the organization. This includes the power to hire, fire, discipline, promote, and give salary increases.

Exhibit 12-1 Predictions from the Fiedler Model

control the leader has. The favorable situations are on the left side of the model in Exhibit 12-1. A very favorable situation (in which the leader has a great deal of control) might include a payroll manager who has the respect and confidence of the employees (good leader-member relations); activities that are clear and specific—such as wage computation, check writing, and report filing (high task structure); and considerable freedom to reward and punish employees (strong position power). An unfavorable situation, to the right in the exhibit, might be that of the disliked chairperson of a volunteer fundraising team (low leader-member relations, low task structure, low position power). In this job, the leader has very little control. According to the theory, when faced with extreme situations (e.g., very favorable or unfavorable conditions; categories I, II, III, VII, and VIII), task-oriented leaders perform better. Relationship-oriented leaders (represented by the solid line), however, perform better in moderately favorable situations—categories IV, V, and VI.

Studies testing the overall validity of the Fiedler model were initially supportive, but the model has not been studied much in recent years.⁴⁷ Furthermore, some of the predictions from Fiedler's theory have not been supported: For instance, relationship-oriented leaders have been found to perform *very well* in favorable conditions.⁴⁸ While it provides some insights that we should consider, our understanding of how the situation affects leadership has advanced with more modern contingency theories.

Situational Leadership Theory

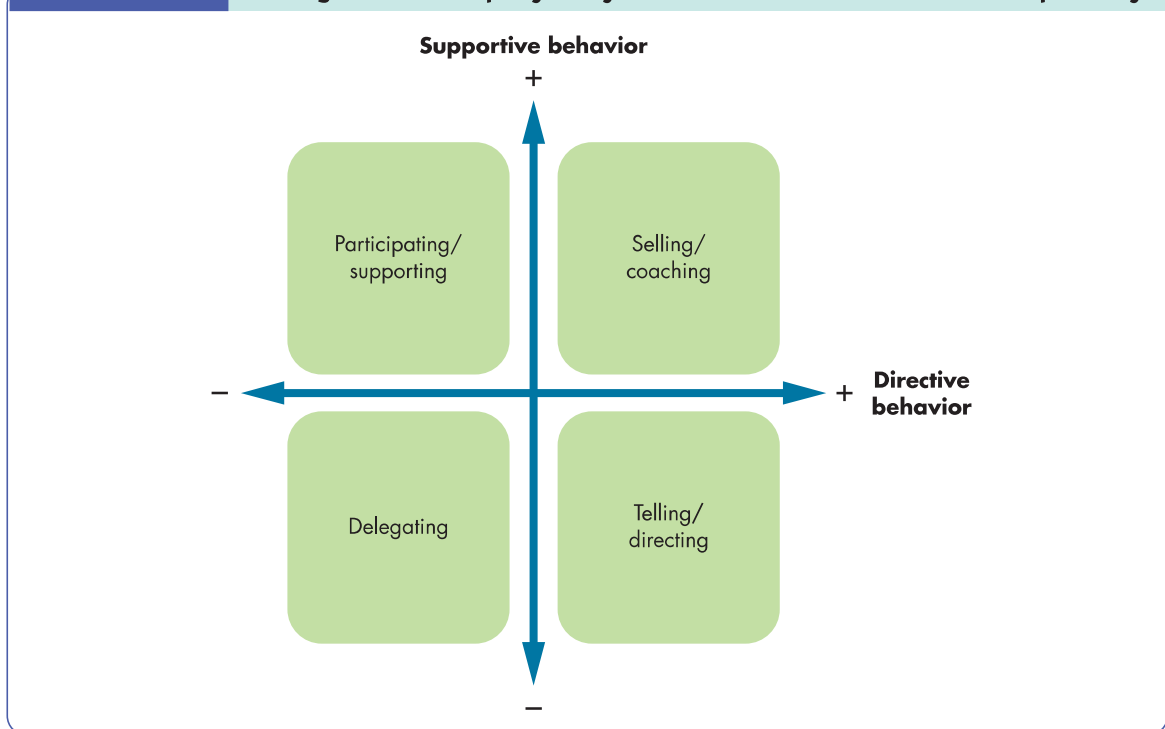
Similar to the Fiedler model, Hersey and Blanchard's **situational leadership theory (SLT)** also assumes that the effectiveness of any leadership style depends on the situation and tasks involved.⁴⁹ However, SLT moves beyond Fiedler to

situational leadership theory (SLT)

A contingency theory that suggests the appropriate leadership style depends on followers' readiness (e.g., willingness and competence) to accomplish a specific task.

focus on the followers. It says that successful leadership depends on selecting the right leadership style contingent on the followers' *readiness*, the extent to which followers are committed toward and competent in accomplishing a specific task. Leadership styles represent different combinations of supportive and directive behavior, which closely align with the consideration and initiating structure behaviors described earlier. A leader should choose one of four styles depending on follower readiness, which progresses on a continuum based on experience with the task, as shown in Exhibit 12-2:⁵⁰

- **Telling/directing** (used when followers are not quite competent, but are committed to do the task): The leader gives clear and specific directions on what to do and how to do it.
- **Selling/coaching** (used when followers have demonstrated some competence but are not quite committed or motivated to do the task—they are discouraged because they realize how far they have to go): The leader should continue to give clear and specific directions on what to do and how to do it but also should provide support, socio-emotional feedback, and encouragement and convince the employee that the task is worthwhile.
- **Participating/supporting** (used when followers are competent but have variable commitment to do the task—they worry about additional responsibility or feel insecure): Given the employee's acquired competence at the task, the leader should take a step back and no longer be as directive—but should continue to be supportive and provide encouragement.
- **Delegating** (used when followers are competent and committed to do the task): The employee is now fully capable and committed to the task—they can now be delegated the task and left alone to get it done.

Exhibit 12-2**Manager Leadership Styles by Behavior in Situational Leadership Theory**

Source: Based on K. H. Blanchard, D. Zigarmi, and R. B. Nelson, "Situational Leadership After 25 Years: A Retrospective," *The Journal of Leadership Studies*, 1, no. 1 (1993): 21–36; and G. Tortorella and F. Fogliatto, "Implementation of Lean Manufacturing and Situational Leadership Styles: An Empirical Study," *Leadership & Organization Development Journal* 38, no. 7 (2017): 946–68.

SLT has intuitive appeal. It acknowledges the importance of followers and builds on the logic that leaders can adapt to their followers' readiness to accomplish specific tasks. Yet research efforts to test and support the theory have generally been disappointing.⁵¹ Why? Possible explanations include internal ambiguities and inconsistencies in the model itself⁵² as well as problems with research methodology. Despite its intuitive appeal and wide popularity, any endorsement must be cautious for now.

Follower Contingency Theories

The final contingency theories we cover concern the role that followers play. As one leadership scholar noted, "Leaders do not exist in a vacuum"; leadership is a symbiotic relationship between leaders and followers.⁵³ But the theories we have covered to this point assume that leaders use a homogeneous style with everyone in their work unit. Think about your experiences in groups. Did leaders often act very differently toward different people? Here, we discuss three theories that highlight the role of followers in shaping leader effectiveness: the leader-participation model, shared leadership, and followership.

Leader-Participation Model The **leader-participation model** relates leadership behavior to subordinate participation in decision making.⁵⁴ Like the previous contingency theories we have discussed, this theory suggests that leader behavior must adjust to reflect the task structure (such as routine, nonroutine, or in between) and the demands of the situation.⁵⁵ However, it does not cover all leadership behaviors and is limited to recommending what types of decisions might be best made with subordinate participation and shared responsibility. It lays the groundwork for the situations and leadership behaviors most likely to elicit acceptance from subordinates and serves as a precursor to shared leadership theory (which we discuss next). For example, Steve Kerr, coach of the Golden State Warriors, notes that it is not enough to be a leader and manage the players—he relies on them to be involved and set examples as well when the situation calls for it.⁵⁶

leader-participation model A theory that suggests leaders should determine the extent to which leadership problems involve participation and shared responsibility with followers (and adjust accordingly).

Shared Leadership Theory As suggested by the leader-participation model, sometimes the situation calls for followers to play an active role in the decision making that affects the team, work group, or unit. **Shared leadership theory** takes this idea a step further to suggest that leadership can become an emergent state (see the chapter on teams) in which leadership roles are distributed across followers, and all are capable of influencing one another.⁵⁷ Notably, shared leadership shifts the assumption that leadership is something enacted by *one person* to a broader understanding of leadership that is capable of being enacted by *a collective*.

shared leadership theory A theory that suggests leadership can become an emergent state in which leadership roles are distributed across followers and all are capable of influencing one another.

Shared leadership is possible in teams and groups with a strongly held shared purpose, flexible roles, composed of proactive and functionally diverse members and in an environment characterized by social support, autonomy, and psychological safety.⁵⁸ Moreover, it is less likely to occur directly after a team forms (when members are still navigating the new structure) and toward the end of a team's tenure (when teamwork and processes are "wrapping up").⁵⁹ Reviews of the research on shared leadership suggest that, overall, shared leadership is effective at improving team performance, attitudes, and behaviors, especially when members engage in transformational or charismatic practices (see later in this chapter) and when the team tasks are complex.⁶⁰ This is because shared leadership can help build trust, empathy, and cohesion among members, which can help them become more effective as a team.⁶¹ Shared leadership can also lead to creativity and innovation benefits, as followers are more likely to support

one another during the idea generation process, derive a sense of purpose and meaning from working together creatively, and be well equipped to make these ideas a reality.⁶²

Of all the contingency theories discussed so far, shared leadership theory has been one of the most popular in recent years. It is not strictly a contingency theory as shared leadership could be a relatively permanent fixture of a team or group. However, we classify it as such because followers step up to the ever-changing leadership problems and challenges confronting teams in a way that best suits their ability levels and strengths.⁶³ Shared leadership could be especially useful in teams operating within extreme, volatile contexts. For instance, medical teams in emergency trauma centers often share leadership responsibilities in an almost improvisational way—when a problem comes up, leadership responsibilities are quickly delegated to the members of the team most suited to address those problems.⁶⁴ However, shared leadership is not always beneficial. It can lead to both task and relationship conflict when the members who make up the group (and share leadership) operate from different levels of power (see the next chapter on power and politics).⁶⁵

followership The capability of followers to put into practice a leader's vision or set of goals.

Followership Theory Like the contingency theories we have discussed so far, followership theory places a heavy emphasis on followers in affecting the success of leadership. In many ways, **followership** “flips the leadership script” to focus on the follower’s capability to put into practice a leader’s vision or set of goals (compare with our definition of leadership from earlier).⁶⁶ Therefore, the success of a leader depends heavily on the quality and makeup of the followers they are attempting to influence toward a common goal or visions. Moreover, the leader’s emotion and behavior can be affected or influenced by followers: Engaged followers can lead to engaged leaders; exhausted followers can lead to exhausted leaders.⁶⁷

A key element of followership theory is perception—much like what we have discussed so far with leadership. In other words, people’s perceptions of what makes for ideal follower traits and behavior matter in the same way they do for leaders.⁶⁸ So what makes for an excellent follower?⁶⁹ Research suggests that the ideal follower is an industrious, enthusiastic, “good citizen” or “team player.” These followers can be described as hardworking, productive, excited, outgoing, happy, loyal, and reliable. They are also more likely to engage in organizational citizenship behaviors (OCBs)—going above and beyond. A poor follower is one who is prone to insubordination, incompetence, and conformity. Followers who are easily influenced, follow trends, and do not speak up when the time calls for it can lead to stagnation in the group. Furthermore, arrogant, rude, or ill-tempered followers can cause or exacerbate relationship conflict that gets in the way of the vision or goals of the group. Lastly, if the followers are not equipped to make the dream a reality (e.g., they lack the knowledge, skills, abilities, or experiences required), they can be a detriment to the leader’s vision. Ultimately, these perceptions matter for perceptions of *both* follower *and* leader performance,⁷⁰ especially when the way in which followers present themselves is authentic.⁷¹

Moreover, “managing up” has become a recent buzzword in the popular press⁷² but possesses many parallels with followership theory. However, this concept expands followership to focus on the same types of skills managers and leaders use to influence followers and directs them upward toward leaders themselves. The idea is for followers to appreciate and adapt to leaders who have different perspectives, learn to navigate and influence them toward the good of the team, and figure out how to forge a productive working relationship.⁷³ Followership and “managing up” are both relatively new

concepts, but we expect OB to continue to move in the direction of understanding what makes followers “tick” and how they can be effective in teams and organizations.

Leading in Times of Crisis

A popular English proverb states, “Cometh the hour, cometh the man.” Despite its sexist phrasing,⁷⁴ this proverb suggests that during times of crisis, leaders will emerge to bring order and understanding to the chaos.⁷⁵ Indeed, leaders can and do emerge during times of crisis, although there is variability in how effective they are at handling this contingency. For example, during the COVID-19 outbreak of 2020, German Chancellor Angela Merkel was praised for her impressive, decisive, firm, evidence-based, and effective leadership. And these are not merely attributions—under her leadership, Germany had one of the lowest fatality rates in the world when the virus broke out.⁷⁶ During times of peace and stability, women leaders tend to under-emerge due to the *glass cliff* phenomenon (see the chapter on diversity, equity, and inclusion in organizations for more discussion).⁷⁷ Because of this *think crisis-think female* effect, women are not seen as leaders during status quo periods, often due to leader stereotypes of not being agentic enough that prevent their emergence (despite little evidence indicating that they are more or less effective than men).⁷⁸ This phenomenon is just one of the many indicators that leadership in crisis is not as simple as the “cometh the hour” proverb would suggest—not to mention the time pressure, complexity, and strain from the threat these stressful situations impose.⁷⁹

Leaders in times of crisis, such as decorated combat heroes of World War II, are often thought of in mythical, heroic terms: eager, loyal, risk-taking, transformational, and so on.⁸⁰ Interestingly, one review of historical leadership incidents across several decades suggested that much of the successful leadership episodes involved *transactional* behaviors (as defined later in this chapter), such as strategizing (e.g., analyzing the situation, delegating, planning) and coordinating (e.g., orchestrating action, managing information flow).⁸¹ Analyzing the situation appears to be particularly important, and research demonstrates that leaders managing crisis teams move quickly toward a shared mental model (see the chapter on teams) of the crisis with followers over time.⁸² Emotions also play a large role: For example, in one study, a leader responsible for a product recall that cost an organization a lot of money was rated more favorably when accepting responsibility and expressing sadness (as opposed to denial and anger).⁸³

Of all the leadership styles during times of crisis, charismatic leadership has been studied the most frequently. During times of crisis, charismatic leadership can be *visionary* (e.g., starting with establishing a vision and then making a plea for action) or *crisis-responsive* (e.g., starting with a plea for action and, over time, justifying this action by communicating its effective results).⁸⁴ Both forms can be effective in different ways, although the crisis-responsive approach tends to be used less frequently once the crisis ends.⁸⁵ Followers are also highly attuned to the crisis, and this affects their leadership attributions. For example, analyses of presidential elections suggest that perceptions of crisis predict voters’ attributions of candidate charisma and their intentions to vote for candidates who are charismatic.⁸⁶ The effects of charismatic and transformational leadership during times of crisis may even reverberate after the crisis is over. For example, a study of U.S. Army unit leaders suggests that transformational leaders observe less unit turnover after the crisis is over and that these soldiers feel more embedded in their unit due to their shared experiences.⁸⁷

12-4 Describe the positive leadership styles and relationships.

leader-member exchange (LMX) theory
A theory that suggests (1) leaders and followers have unique relationships that vary in quality and (2) these followers comprise ingroups and outgroups; subordinates with ingroup status will likely have higher performance ratings, less turnover, and greater job satisfaction.

Positive Leadership Styles and Relationships

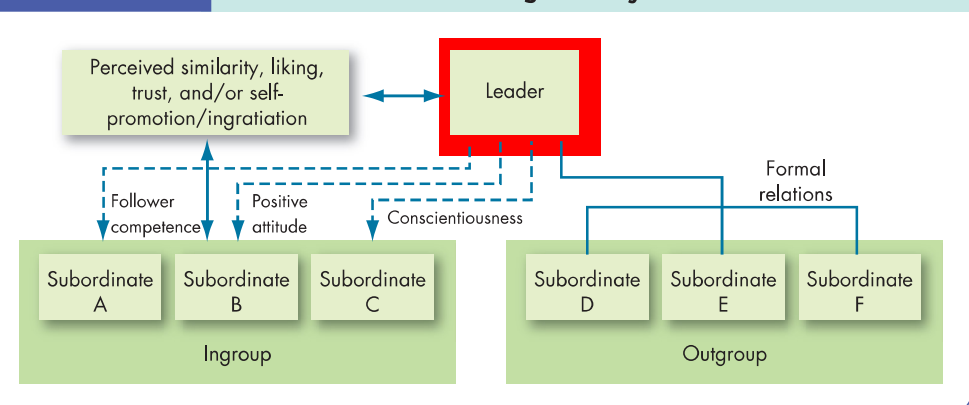
The understanding of leadership is a constantly evolving science. In recent years, contemporary theories have focused on the positive ways in which leaders influence and build quality exchange relationships with their followers. First, we describe leader-member exchange (LMX) theory, which describes how leaders form unique relationships with each of their followers. Then we describe charismatic leadership and full-range leadership theory, which attempt to characterize the positive ways in which leaders capture followers' attention and motivations.

Leader-Member Exchange (LMX) Theory

Think of a leader you know. Does this leader have favorite followers who make up their “ingroup”? If you answered yes, you are acknowledging **leader-member exchange (LMX) theory**.⁸⁸ LMX suggests leaders and followers have unique, one-on-one relationships that vary with each follower (e.g., some are higher quality than others). It also suggests that leaders establish a special relationship with a small group of their followers. These individuals make up the ingroup—they are trusted, get a disproportionate amount of the leader's attention, and are more likely to receive special privileges. Other followers fall into the outgroup.

For the relationship to remain intact, the leader and the follower must invest in the relationship (see Exhibit 12-3). Competent, conscientious, proactive, and positive employees tend to have higher-quality relationships with their leaders and are more likely to be placed in the ingroup (along with those who are ingratiating and self-promoting).⁸⁹ Leaders induce higher-quality LMX perceptions by engaging in emotional labor, transformational leadership behaviors, ingratiating their followers, rewarding employees with whom they want a closer linkage, and punishing those with whom they do not.⁹⁰ When leaders and followers interact with one another, research suggests that leaders and followers build social capital with one another—they contribute more to the relationship when they feel obligated to and will withhold contribution when they believe they have “done enough.”⁹¹ In general, however, leaders and followers tend to develop high-quality relationships over time when the supervisor has high expectations for the follower, when they see themselves as similar, when they like each other, and when they trust each other.⁹² Leaders and followers of the same gender tend to have closer (higher LMX) relationships than those of different

Exhibit 12-3 Leader-Member Exchange Theory



genders.⁹³ Regardless of LMX quality perceptions, it is also true that LMX more or less varies in importance for leaders and followers. (Some employees value LMX less than others.)⁹⁴

Research to test LMX theory has been generally supportive, with substantive evidence that leaders do differentiate among followers. These disparities are far from random. Followers with ingroup status receive higher performance ratings (and objectively perform better), engage in more helping or OCBs at work, engage in fewer deviant or counterproductive work behaviors (CWBs), speak up when the situation calls for it, and report greater satisfaction with their leaders.⁹⁵ LMX influences these work outcomes by improving employee trust, motivation, empowerment, and job satisfaction (although trust has the largest effect).⁹⁶ LMX is strongly linked to psychological and physical well-being at work as well as reduced stress and burnout symptoms—for instance, followers are less likely to feel ostracized or left out.⁹⁷ LMX has even been linked to enhanced employability and career success, with employees with strong LMX reporting higher salaries, bonuses, and promotions than other employees.⁹⁸

Furthermore, the extent to which leaders “play favorites” and create explicit in- and outgroups tends to have a negative effect on group or team outcomes. Although LMX only has a weak effect on group performance, when leaders play favorites, it negatively affects team attitudes, collective efficacy, justice climate, and coordination and can lead to conflict in teams.⁹⁹ But this does not seem to be the case when the exchanges are based on team members’ actual performance (and not just playing favorites).¹⁰⁰ On the other hand, the overall level of LMX quality among members of the team (how strongly followers tend to see their relationships with their leaders) tends to matter more for work group or team outcomes.¹⁰¹ In other words, if the leader treats everyone well to some degree, followers will likely be happy. Similar to substitutes for leadership theory (discussed later in the chapter), the quality of exchange between coworkers and colleagues can often substitute for or offset the negative impacts of low LMX in teams.¹⁰²

There are some boundary conditions for the effects of LMX, however. For example, it appears as if LMX’s relationship with perceptions of trust, job satisfaction, and justice as well as with OCBs and turnover intentions depends in part on the culture—in a study of nearly 70,000 employees from twenty-three countries, the researchers found that LMX matters more in individualistic rather than collectivistic cultures.¹⁰³ Another limitation is that the agreement between leaders and followers on their relationship quality (e.g., a boss might think the relationship is great, the follower might not) is not very strong—when there is disagreement between the two, this can hurt employee engagement (regardless of who perceives the relationship as stronger).¹⁰⁴

Charismatic Leadership

There is just “something” about certain leaders that causes people to be drawn toward them. There is an undeniable presence to leaders like Rev. Martin Luther King Jr., Mahatma Gandhi, and former president Barack Obama, which can be explained in part by their abilities to unite and transform people.¹⁰⁵ Two contemporary leadership theories—charismatic leadership and transformational leadership (to be discussed shortly)—share a common theme in the great leader debate: They view leaders as individuals who inspire followers through words, ideas, and behaviors.

What Is Charismatic Leadership? Sociologist Max Weber defined *charisma* (from the Greek for “gift”) as “a certain quality of an individual personality, by virtue of which [they are] set apart from ordinary people and treated as endowed

Nick Woodman, founder and CEO of digital camcorder company GoPro, is a charismatic leader: energetic, enthusiastic, optimistic, confident, and extroverted. Woodman's charisma inspires his employees to work toward GoPro's vision of enabling people to share their lives through photos and videos.

Source: Victor J. Blue/Bloomberg/Getty Images



with supernatural, superhuman, or at least specifically exceptional powers or qualities. These are not accessible to the ordinary person and are regarded as of divine origin or as exemplary, and on the basis of them the individual concerned is treated as a leader.”¹⁰⁶

charismatic leadership theory

A leadership theory stating that followers make attributions of heroic or extraordinary leadership abilities when they observe certain behaviors (e.g., those that are values-driven, symbolic, or emotional).

According to **charismatic leadership theory**, followers attribute heroic or extraordinary leadership abilities when they observe certain behaviors (e.g., those that are values-driven, symbolic, or emotion-laden) and tend to give these leaders power.¹⁰⁷ A number of studies have attempted to identify the characteristics of charismatic leaders: They have a vision, have a sense of mission, are willing to take personal risks to achieve that vision, are sensitive to follower needs, and exhibit extraordinary behaviors (i.e., they “go against the flow”)¹⁰⁸ (see Exhibit 12-4). Some research has also linked intelligence (both cognitive ability and being able to “see the big picture”), extroversion, and agreeableness to the motivational and influential factors of charismatic leadership.¹⁰⁹ Charismatic leadership theory suggests that these personality traits enable leaders to react to work events with a positive attitude, and their EI enables them to influence followers to unite and constructively confront the adverse work event.¹¹⁰

Exhibit 12-4

Key Characteristics of Charismatic Leaders

1. *Vision and articulation.* Has a vision—expressed as an idealized goal—that proposes a future better than the status quo; able to clarify the importance of the vision in terms that are understandable to others.
2. *Personal risk.* Willing to take on high personal risk, incur high costs, and engage in self-sacrifice to achieve the vision.
3. *Sensitivity to follower needs.* Perceptive of others’ abilities and responsive to their needs and feelings.
4. *Unconventional behavior.* Engages in behaviors that are perceived as novel and counter to norms.

Source: Based on J. A. Conger and R. N. Kanungo, *Charismatic Leadership in Organizations* (Thousand Oaks, CA: Sage, 1998), 94.

How Charismatic Leaders Influence Followers Charismatic leadership has a positive effect on follower outcomes: Such leaders can, for instance, enhance follower task performance and OCB as well as reduce/reframe follower turnover and stressors.¹¹¹ But how do charismatic leaders influence followers? By articulating an appealing **vision**, a long-term strategy for attaining a goal by linking the present with a better future for their team, group, or organization.¹¹² Desirable visions fit the times and circumstances as well as reflect the uniqueness of the organization. Thus, followers are inspired not only by how passionately the leader communicates and their nonverbal cues (e.g., extended eye contact)¹¹³ but also by an appealing message. For example, charismatic principals that promote a shared vision among teachers can improve the organizational climate (see the chapter on organizational culture) and, as a result, improve school outcomes.¹¹⁴

vision A long-term strategy for attaining a goal or goals.

A vision needs an accompanying **vision statement**, a formal articulation of an organization's vision or mission.¹¹⁵ Charismatic leaders may use vision statements to imprint on followers an overarching goal and purpose. These leaders also set a tone of cooperation and mutual support. They build followers' self-esteem and confidence with high performance expectations and the belief that followers can attain them.¹¹⁶ Through words and actions, the leader conveys a new set of values and sets an example for followers to imitate. Finally, the charismatic leader engages in emotion-inducing and often unconventional behavior to demonstrate courage and conviction about the vision.

vision statement A formal articulation of an organization's vision or mission.

Research indicates that charismatic leadership works as followers “catch” the emotions that their leader is conveying.¹¹⁷ Notably, charismatic managers may seem to have an air of mystique and magnetism around them: These perceptions are aroused when they seem to be successful for mysterious reasons and when the effects of their charisma spread across followers.¹¹⁸ Some personalities are especially susceptible to charismatic leadership.¹¹⁹ For instance, an individual who lacks self-esteem or has low core self-evaluations is more likely to absorb a leader's direction. For these people, the situation may matter much less than the charismatic qualities of the leader.

Does Effective Charismatic Leadership Depend on the Situation? Charismatic leadership has positive effects across many contexts. However, there are characteristics of the situation that enhance or somewhat limit its effects. One factor that enhances charismatic leadership is stress. People are especially receptive to charismatic leadership when they sense a crisis or when they are under stress, perhaps because we think bold leadership is needed. Some of it, however, may be more primal. When people are psychologically aroused, even in laboratory studies, they are more likely to respond to charismatic leaders, especially when they use language that is constructive and “promotion-oriented” rather than that which does not propose solutions and focuses on the negative.¹²⁰ Stress matters for leaders, too: When leaders are under stress, they may not have the resources to engage in charismatic behaviors.¹²¹ Stress may explain why, when charismatic leaders surface, they are likely to be in politics or religion, during wartime, or when a business is in its infancy or facing a threatening crisis. For example, U.S. President Donald Trump (despite the controversy and divisiveness surrounding his presidency) offered a charismatic vision to “make America great again,” which was met with open arms by many, possibly due to a state of alarm or crisis nurtured and encouraged by the media.¹²² Another factor is ambiguity: When we cannot accurately assess or observe how someone is doing, we rely more on cues (e.g., charismatic behaviors) to assess whether they are being effective as a leader. For example, one study of both U.S. presidents and CEOs found that charisma was more likely to predict whether a leader is selected or appointed, especially when the situation was ambiguous.¹²³

The Dark Side of Charismatic Leadership Unfortunately, charismatic leaders who are larger than life do not necessarily act in the best interests of their organizations

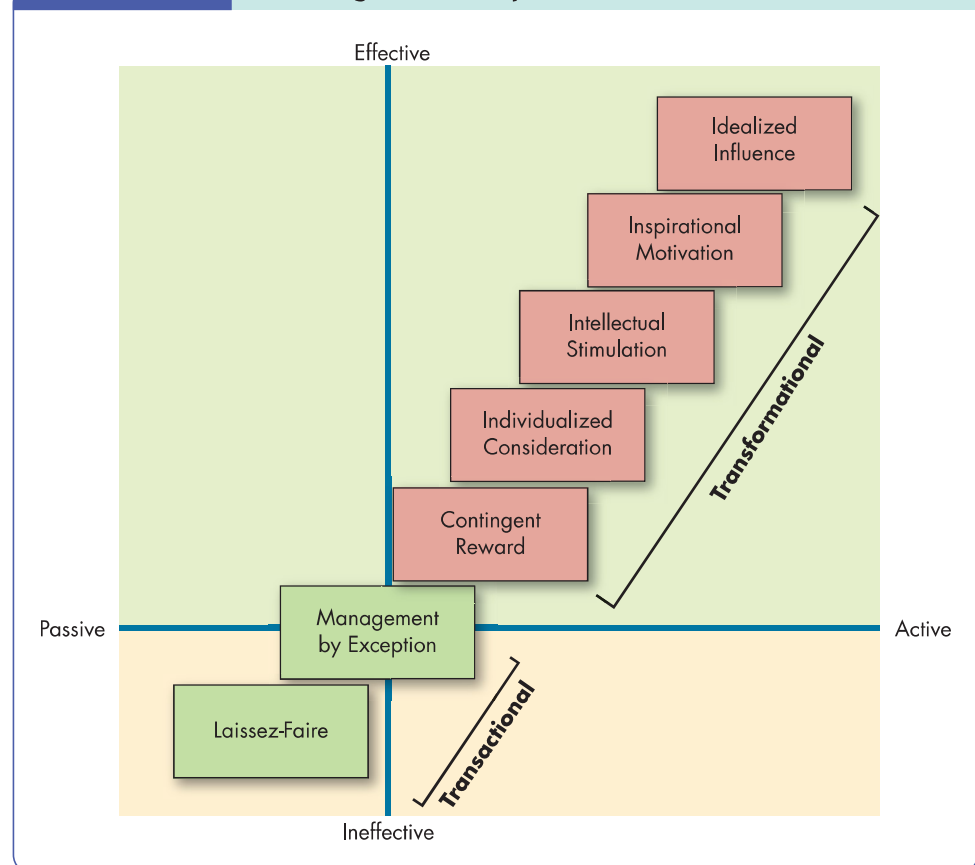
or constituents.¹²⁴ Research has shown that individuals who are narcissistic are also higher in some behaviors associated with charismatic leadership.¹²⁵ Furthermore, research suggests that charismatic leadership can unduly distort follower fairness perceptions: Because they see the charismatic leader in a positive light, they may be (consciously or not) more willing to perceive them as fair.¹²⁶ In essence, charismatic leadership is a positive leadership tool that can be used for nefarious means. Many charismatic—but corrupt—leaders have allowed their personal goals to override the goals of their organizations. Corporate leaders around the globe recklessly used organizational resources for their personal benefit and unethically violated laws to inflate stock prices, and then cashed in millions of dollars in personal stock options. For instance, the leaders at blood-testing firm Theranos and trucking startup Nikola lied about the capabilities of its technology but convinced investors of the technology's ingenuity and impact.¹²⁷ It is not that charismatic leadership is not effective; overall, it is. But a charismatic leader is not always the answer. Success depends on the situation, on the leader's vision, and on the organizational checks and balances in place to monitor the outcomes.

The Full Range Leadership Model

full range leadership model A model that suggests that there are a number of approaches or styles of leadership (i.e., transactional, transformational) that vary on a continuum from passive and ineffective to active and effective.

The **full range leadership model** suggests that there are a number of approaches or styles of leadership (i.e., laissez-faire, transactional, and transformational) that vary on a continuum from passive and ineffective to active and effective. Exhibit 12-5 illustrates the full range leadership model, and Exhibit 12-6 outlines characteristics of each of the model's seven leadership styles.

Exhibit 12-5 Full Range Leadership Model



Source: Adapted from B. M. Bass and B. J. Avolio, *Improving Organizational Effectiveness Through Transformational Leadership* (Thousand Oaks, CA: Sage, 1994).

Exhibit 12-6 Characteristics of Full Range Leadership Styles

Laissez-Faire Leader

Laissez-Faire: Abdicates responsibilities, avoids making decisions.

Transactional Leader

Contingent Reward: Contracts exchange of rewards for effort, promises rewards for good performance, recognizes accomplishments.

Management by Exception (active): Watches and searches for deviations from rules and standards, takes corrective action.

Management by Exception (passive): Intervenes only if standards are not met.

Transformational Leader

Idealized Influence: Provides vision and sense of mission, instills pride, gains respect and trust.

Inspirational Motivation: Communicates high expectations, uses symbols to focus efforts, expresses important purposes in simple ways.

Intellectual Stimulation: Promotes intelligence, rationality, and careful problem solving.

Individualized Consideration: Gives personal attention, treats each employee individually, coaches, advises.

Source: B. M. Bass, "From Transactional to Transformational Leadership: Learning to Share the Vision," *Organizational Dynamics* 18, no. 3 (1990): 19–31.

Laissez-Faire Leadership Let us start with the most ineffective leadership style. According to a survey by Right Management, only 17 percent of employees report that their supervisors are actively engaged in developing them, yet 68 percent report that their supervisors are not engaged in this way at all.¹²⁸ Those in the 68 percent likely have leaders who primarily use laissez-faire leadership styles. **Laissez-faire leadership**, which literally means “let it be” (or “do nothing”) in French, is the most passive and therefore least effective of leader behaviors.¹²⁹ Although laissez-faire leadership is passive, its effects are not also passive.¹³⁰ Contrary to what you might predict, members of a team led by a laissez-faire leader generally do not “step up” to fill the leadership void. Instead, in line with social learning theory (see the chapter on motivation theories), team members tend to also neglect leadership behaviors, which then harms team performance, mirroring their passive leader’s behavior.¹³¹ Laissez-faire leaders also can do emotional harm to their followers. For instance, many followers often define themselves through their relationships with others, including their supervisors. For these employees, a passive, laissez-faire leader makes them feel like there is low-quality LMX and may lead them to experience lower commitment toward the organization.¹³² This has particular implications for followers who experience bullying or mistreatment—supervisors who “do nothing” can encourage role conflict and ambiguity, relational conflicts, mistreatment, and stressful working environments.¹³³

Transactional Leadership Transactional leaders guide their followers toward established goals by clarifying role and task requirements, allocating rewards and punishment where needed (i.e., *contingent rewards*), and (passively or actively) intervening when the situation calls for it (i.e., *management by exception*).¹³⁴ The types of transactional leadership are presented in Exhibit 12-6. *Management by exception*, in which leaders primarily “put out fires” during crises,

laissez-faire leadership A leadership style involving passive abdication and avoidance of leadership responsibilities.

transactional leaders Leaders who guide or motivate their followers in the direction of established goals by clarifying role and task requirements, allocating rewards and punishment where needed, and (passively or actively) intervening when the situation calls for it.

monitor employee performance for errors, and interact with followers only when something is wrong, is generally ineffective as a style of leadership.¹³⁵ Notably, management by exception can be utilized either actively or passively, with the passive form tending to be more ineffective.¹³⁶ *Contingent reward* leadership, which gives predetermined rewards for employee efforts, can be an effective style of leadership but will not get employees to go above and beyond the call of duty.¹³⁷

Some of the leadership approaches we discussed earlier, including situational leadership theory, tend to focus on a transactional approach. Sometimes, transactional leadership approaches are needed.¹³⁸ For example, research on offshore rig employees suggests that leaders who actively intervene when the situation calls for it lead employees to become more engaged in safety behaviors, especially given the high likelihood of accidents.¹³⁹

transformational leaders Leaders who inspire followers to transcend their own self-interests for the good of the organization.

Transformational Leadership Transformational leaders, on the other hand, inspire followers to transcend their self-interests for the good of the organization.¹⁴⁰ Transformational leaders can have an extraordinary effect on their followers.¹⁴¹ In her book *Leadership in Turbulent Times*, Doris Kearns Goodwin describes the transformational qualities of past presidents such as Abraham Lincoln, Theodore Roosevelt, and Lyndon Johnson, who personally appealed to Americans and inspired followers to make sacrifices to pursue goals for the country.¹⁴² There is evidence that whether leaders engage in transformational behaviors depends to a large extent on culture and industry. For example, one review of dozens of studies from 18 different countries suggests that transformational leadership may be used more often in the health and security industries as well as in cultures worldwide that value assertiveness and egalitarianism and are lower on power distance.¹⁴³

Exhibit 12-6 briefly identifies and defines characteristics of transformational leadership styles. Individualized consideration, intellectual stimulation, inspirational motivation, and idealized influence (known as the “four I’s”) all result in extra effort from workers, higher productivity, higher creativity, higher well-being, higher morale and satisfaction, higher organizational effectiveness, higher psychological safety (and follower freedom to speak up when needed), improved psychological and physical health, lower turnover, lower absenteeism, and greater organizational adaptability.¹⁴⁴

Integrating and Evaluating Positive Leadership Styles

First, one clear conclusion can be drawn regarding laissez-faire leadership: You probably should not use it. Laissez-faire leadership, or doing nothing (often when something *should* be done), mostly results in destructive outcomes like social loafing, harmed interpersonal relationships, and the perpetuation of toxic group or work environments. However, a comparison between charismatic, transactional, and transformational styles is somewhat trickier. Although all of these styles can be useful in their own right, transformational leadership tends to consistently result in optimal leadership outcomes. Therefore, in this section, we primarily focus on how charismatic and transactional leadership stack up to transformational leadership.

Transformational Versus Charismatic Leadership First, in considering transformational and charismatic leadership, you surely noticed some commonalities. There are differences, too. As discussed in a prior section, charismatic leaders are those who make value-based appeals and communicate through

symbolic and emotion-laden means.¹⁴⁵ Charismatic leadership places somewhat more emphasis on the way leaders communicate (are they passionate and dynamic?), while transformational leadership focuses more on what they are communicating (is it individualized, intellectually stimulating, inspirational, and influential?).¹⁴⁶ At their heart, both focus on the leader's ability to inspire followers, and sometimes they do so in the same way and with similar degrees of effectiveness.

Transformational Versus Transactional Leadership Transactional and transformational leadership complement each other; they are not opposing approaches to getting things done.¹⁴⁷ Transformational leadership *builds on* transactional leadership and produces levels of follower effort and performance beyond what transactional leadership alone can do. Although both tend to be important, it appears that transformational leadership is more important for group performance, OCBs, and satisfaction with the leader, whereas transactional leadership (primarily contingent reward) is more important for leader effectiveness, follower performance, and follower job satisfaction.¹⁴⁸ Also, as mentioned earlier, transactional leadership behaviors, like management by exception (active), are also important in their own right for effective task performance and safety behaviors in organizations.¹⁴⁹

Many researchers have commented on how the *contingent reward* aspect of transactional leadership appears to be *just as effective as* many of the transformational approaches to leadership, although the management by exception approach does lag behind in effectiveness.¹⁵⁰ Interestingly, newer research suggests that management by exception may be a double-edged sword—it has both pros and cons, which offset each other.¹⁵¹ When managers actively or passively monitor followers and only step in when they are needed, followers may feel empowered to do their jobs autonomously (e.g., they are not being micromanaged). This can lead to heightened task performance and OCBs. However, at the same time, these employees may also feel like they have lower-quality LMX relationships with their leaders. If their leaders are only stepping in when there is a problem, they are probably not engaging in relationship-building behaviors, which can harm their LMX, performance, and OCBs. These findings highlight just how important the situational approach is to effective deployment of these styles: Always be mindful of situational demands and the leadership styles that may be most effective in meeting those demands, and work toward addressing unintended side effects of the leadership style you choose.

What Makes Transformational Leadership So Great? Overall, an exhaustive program of research has sought to discover why transformational leadership is so effective.¹⁵² In general, researchers have found that it is, effective for five reasons (many of which correspond with various chapters in this book):¹⁵³

1. **Affective or attitudinal mechanism:** Transformational approaches promote positive employee moods, emotions, job satisfaction, organizational commitment, and feelings of well-being.
2. **Motivational mechanism:** Transformational approaches motivate employees—they become more confident and engaged and are more willing to put in the time and effort.
3. **Identification mechanism:** Transformational approaches lead employees to personally identify with the leader and the leader's values and identity as well as the team or organization.